

Classification of Ethics

Ethics

Systematic Study of moral Conduct

Normative ethics

**Study of moral standards to
determine right and wrong.
Scope: General moral science**

Applied ethics

**Study of special issues-business
ethics
Scope: specific human action**

Meta Ethics

**Cognitive Study of the ultimate
principles of ethics, their origin and
meaning
Conceptual scope: philosophy**

Applied Ethics: Business Ethics

"Business Ethics" : Critical, Structured examination of how people & institutions should behave in the world of commerce.

Examining appropriate constraints on the pursuit of self-interest, or (for firms) profits, when the actions of individuals or firms affects others.

The “critical” and the “structured” parts of those definitions are both important

Critical

- *Examining and critiquing various* moral beliefs and practices.
- Not just description of people’s behavior
- Looking at particular norms and values and behaviors and judging them, asking whether **various norms and values are mutually contradictory**, and **asking which ones matter more in what sorts of situations.**

Applied Ethics: Business Ethics contd.

Structured

- Not just opinion about how people should behave. Everyone has opinions.
- Ethics involves **attempting, at least, to find higher-order principles** and theories in an attempt to **rationalize and unify our diverse moral beliefs.**

Meta ethics

The term “meta” means *after or beyond*, meta ethics as the study of the origin and meaning of ethical concepts. When compared to normative ethics and applied ethics, the field of meta ethics is the least precisely defined area of moral philosophy.

a) Metaphysical Issues

Moral values as Spirit-like-realm /Human Conviction.

Plato noted moral values are absolute truth as mathematical relations $1+1=2$.

God wills moral principles as “Murder is wrong” & informs us through scriptures.

Meta ethics Contd.

Human Conviction:

Moral values in fact **change from society to society** throughout time and throughout the world.

They frequently attempt to defend their position by citing examples of values that differ dramatically from **one culture to another**, such as attitudes about **polygamy, homosexuality and human sacrifice**.

Issues in Meta ethics

Psychological Issues in Meta Ethics

Why be moral: to avoid punishment, to gain praise, to attain happiness, to be dignified, to fit in with society.

Egoism & Altruism

Psychological Egoism: self-oriented interests ultimately motivate all human actions.

Even if an action seems selfless eg. **Donating to charity**
selfish causes for this: such as **experiencing power over other people**.

Whistle Blowing in organization: to either take revenge or become celebrity, not genuine act.

Psychological Altruism :at least some of our actions are motivated by instinctive benevolence.

Psychological Issues in Meta Ethics contd..

Emotion and Reason

Reason: Rationally minded philosophers believe moral choices be backed by some reason or justification.

e.g If one argue that **cheating is bad**, one should **have reason** for that: **it put the cheater at risk of getting caught.**

Emotion: Reason might be of service in giving us the relevant data, but, in Hume's words, "**Reason is, and ought to be, the slave of the passions.**"

e .g although the statement "*it is good to donate to charity*" may on the surface look as though it is a **factual description about charity**, it is not.

Instead, it's a **moral utterance.**

Normative ethics

Arriving at moral standards that regulate right and wrong conduct.

In a sense, it is a search for an **ideal litmus test** of proper behaviour.

Golden Rule : We should do to others what we would want others to do to us.

Since I do not want **my neighbour to steal my car**, then it is wrong for **me to steal her car**. (Child world Vs Toys “R” Us)

Since I would want people to feed me if I was starving, then I should help feed starving people.

Three strategies will be noted here:

Normative ethics contd..

1)Virtue theory: Moral Education

Virtues: acquired traits-benevolence, compassion, courage, self control, toleration even Pride and shame.

We should be proud of our genuine accomplishments but not arrogant & properly shamed by our failures.

Analyzing 11 specific virtues, **Aristotle** argued that most virtues fall at a mean between more extreme character traits.

2) Duty /Deontological Theories

Greek work- Deon: Duty

Kantian Theory

Moral principles seen in view of the **foundational nature of our duty** or obligation.

We have **moral duties to oneself and others, developing one's talents, keeping our promises to others.**

They are also sometimes called ***nonconsequentialist*** since **these principles are obligatory**, irrespective of the consequences that might follow from our actions. Bribery is wrong regardless of the consequences.

Duties of Gratitude: to return favours that others do for us.

Duties of fidelity: to keep promises.

Duties of Justice

Immanuel Kant

Categorical Imperative versus Hypothetical imperative

Hypothetical Imperative: they tell us to do something only on condition that we have the relevant desire.

If you want to lower your cholesterol level, then you ought to eat less oil.

If you want to score good grades, then you ought to study.

Categorical Imperative : commands us to perform actions no matter what desires we happen to have.

Immanuel Kant Contd..

Principle of Universalizability:

- If an act is right for 1 person , then it is right for all other relevantly similar persons in relevantly similar circumstances.
- If an act is wrong for other people, then it is wrong for any one person unless there is some difference that justifies making an exception.(at times it gives rise to double standard)

Eg.: Tax Evasion: If few people do so it's oK but if all do so: disastrous impact, **thus tax evasion is wrong.**

Treat People as an end , and never as a means to end

People should be treated with dignity and never use them as instrument.

Ex.: Stealing neighbor's car since I would be treating him/ her as a means to my own happiness.

Suicide is wrong since I would be treating my life as a means to the alleviation of my misery.

- Slavery & exploitation of workers are forbidden.
- Deontological Theories-** Process orientation rather than result Orientation.

Japanese style of management, imperative on business
Process innovation which leads to product innovation.

Indian Concept: duty

Karmanyē vadhikaraste ma phaleshu kadachna
Karmaphalehtur bhurma te sangostvakarmani.

Bhagwad Gita

You have a right to perform your prescribed duty, but you are not entitled to the fruits of action, Never consider yourself the cause of the results of your activities, and never be attached to not doing your duty.

kritam me dakshine haste, jayo me savya aahitah.

Attharva Veda

May your right hand do the duty and the left hand earn success of your efforts.

Rights Theories

Propounder: John Locke

Rights can be understood as entitlements,

To have rights is **to be entitled to act on our own** or to be treated by others in certain ways without asking permission of anyone or dependent on anyone's goodwill.

Laws of nature mandate that we should not harm anyone's life, liberty & pursuit of happiness.

Rights theorists maintained more specific rights , including the rights of **property, movement, speech, and religious expression.**

Eg. Human Rights Issues in Socialist Countries.

Rights in Business

- **Employers** have the right to conduct business as they see fit, to make decisions about hiring and Promotion, and to be protected against unfair norms of competition.
- **Employees:** collective Bargaining and to be protected against hazardous working conditions.
- Consumers & General public have rights in advertising, product safety, Protection of the environment.

Debate: Treatment of workers in less developed countries by Transnational Corporations.

- **Beyond Business debate over Abortion, Use of Life support System.**

Case let-Social Justice or Union Thuggery

- Damodar Patil runs a successful interior decoration business in Mumbai.
- He got a proposal for a job to be done in the newly built house of a well-known personality from Kerala.
- Patil accepted it he thought he can mix leisure with work in God's own land: because of its natural beauty, vibrant culture & traditional hospitality.
- Patil's men arrived with the material in 2 trucks at the designated place in Kerala.
- As the truck was ready to unload, a small group of men had surrounded the trucks & started yelling at the workers who were unloading, they could not understand as men were speaking Malayalam.

What was the Problem?????

Case Let Contd..

- A reasonable looking man told Mr. Patil , that this was a local labor issue.
- Workers bought from outside would deprive the local workers of their rights.
- The workers have to be compensated for loss of their rights.
- Reading Patil's mind he added for good measure, that communism is way of life in the state.
- He made a queer gesture, as if to say that Patil either put up with it or reload and go back.

Question: It's social Justice through Communism or Union Thuggery?

Consequentialist /Teleological Theories

Greek Word telos: refers to an end

- Actions are justified on teleological theories by virtue of the end they achieve, rather than some feature of the actions themselves.
- An action is morally right if the consequences of that action are more favorable than unfavorable.

Utilitarianism

Propounders: Jerry Bentham & John Stuart Mill

The seeking of pleasure and avoidance of pain i.e. **happiness is the only right & universally desirable end of human action.**

It is not merely agent's own happiness but that of all concerned.

“Sarv jan Hitay, Sarv jan Sukhay”
Welfare for all, Happiness for all.

- The Utilitarian principle assumes that we can **somehow measure and add the quantities of benefits generated by an action & deduct from it the measured quantities of harm** that act produced, and determine thereby which action produces the greatest total benefits or the lowest total costs.
- Cost Benefit Analysis Approach.
- Net Pleasure has to be calculated for every decision
 Action A- Pleasure- pains= + Pleasures
 Action B- Pleasure- Pains= - Pleasures
- **Issues of child labor**
- **Closing a polluting plant: Workers who loose job, consumers, Owners.**
- **Non Profitable SOEs in China.**
- **Development versus dislocation: China V/s India policy**

Case let

Shikher is a poor man. His wife suffers from cancer and needs immediate medicine. The medicine is very costly and Shikher cannot afford it. The chemist is unwilling to lend to him on credit. Shikher breaks open the store, steals the drug, and administers it to his wife.

Stockholder/Shareholder Theory

- Acc. to theory business are merely arrangements in which one group of people namely **shareholders advance capital to another group namely managers to realize certain ends beneficial to them.**
- In this arrangement **managers (including BODs) act as agents for shareholders.**
- **This fiduciary relationship** binds the managers not to spend the available resources on any activity without the **authorization from their owners**, regardless of any social benefits that can be accrued by doing so.
- **Milton Friedman** asserted that “ **there is one & only one social responsibility of business- to use its resources & engage in the activities designed to increase its profits** in open & free competition **without fraud.**
- Adam Smith **Invisible hand:** each individual though acts in self interest yet in the process promotes the **interest of the society more efficiently then when he really intends to promote it.**

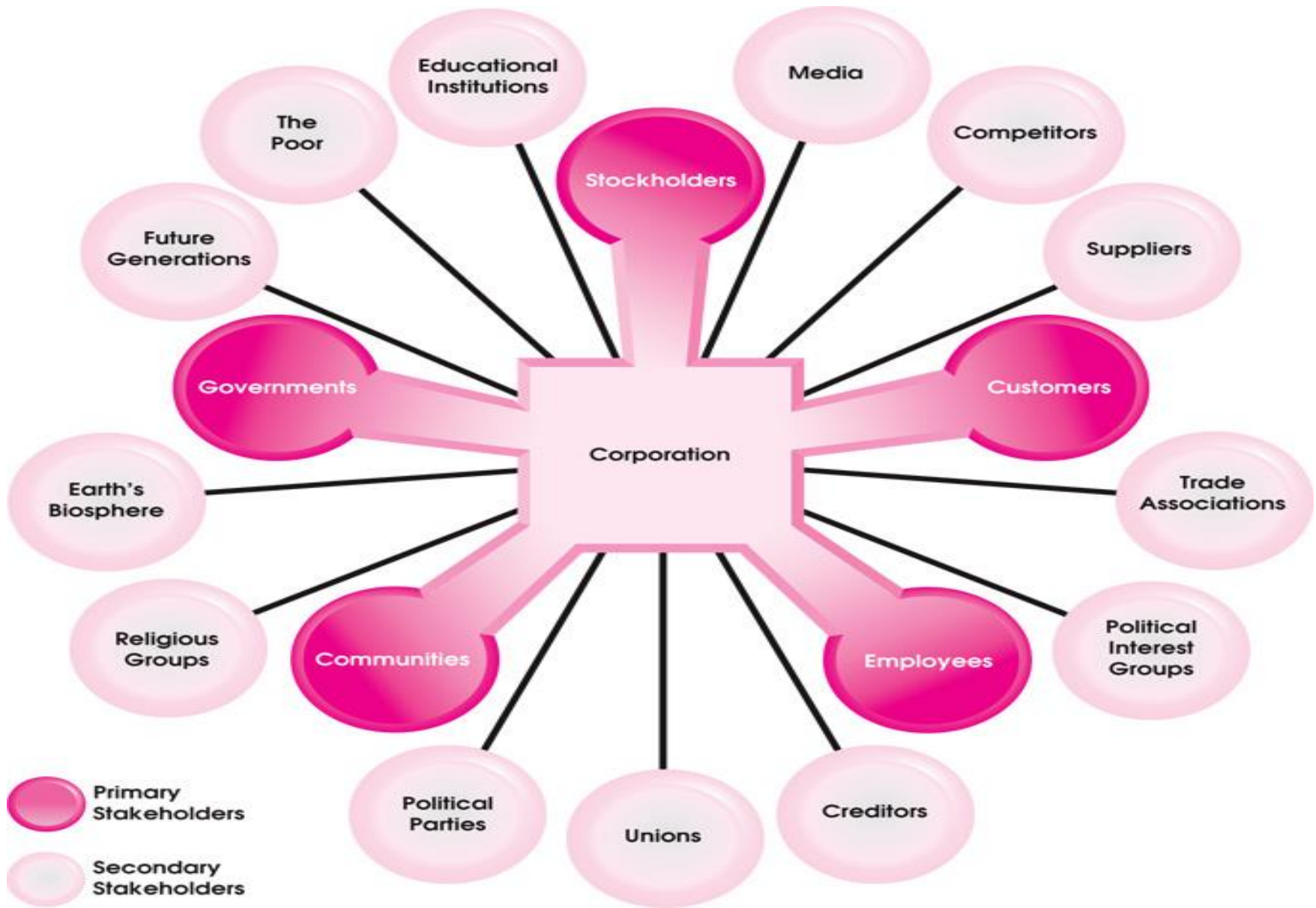
Stockholder theory contd..

Deontological aspect: Stockholders provide their capital to managers on the condition that they use in accordance with their wishes. If the managers spend it to realize some social goals, unauthorized by stockholders-it's a breach of the agreement.

Many ethicists discard the theory as an **outmoded relic of the past**. Robert Solomon in his "Ethics and Excellence" finds it's pathetic **understanding of stockholder personality as Homo Economicus**.

False Analogy: **If govt. spends tax payer's money** without taking his/her consent then **business can also carry out social activity without concern of shareholders**.

Stakeholder Theory



Stakeholder Theory Contd..

- Synthesis of Economics, behavioral science, business ethics and stakeholder concept.
- In its empirical form, the stakeholder theory argues that a corporate's success in the market place can best be assured by catering to interest of all its stakeholders, namely shareholders, customers, employees, suppliers, management and the local community.
- To achieve its objective, the corporate would have to adopt policies that would ensure 'the optimal balance among them'.

Criticism of Stakeholder theory

- It is **not** a realistic assessment of the **power relationships** between the corporation and other entities.
- Path to corruption and chaos, it offers agents the opportunity **to divert wealth away from shareholders to others.**
- To assume that all stakeholders who are impacted by a contract have a moral right to bargain over distribution of its effects means they have right to participate in the decision making process of business as well, which is absurd.

The Social Contract Theory

- All businesses are ethically duty bound to increase the welfare of the society by catering to the needs of customers and employees without in any way endangering the principles of natural justice.
- **Assumption:** There is an **implicit agreement** between society and business unit, in which society recognizes the existence of a condition that it will serve the interest of the society in certain specified ways.
- When society gives **legal recognition to business to exist, engage in any economic activity, earn profit by using company's resources**(land, skilled labor, raw materials) it obviously implies that the firm owe an obligation to the society.

Social Contract breaks when:

- Company deplete the irreplenishable natural resources
- Pollute environment
- Poison water bodies
- Misuse political power through money power.
- Employees treated as cogs in the wheels of production.

Criticism of Social Contract theory

- Social Contract no contract at all.
- Contract is an agreement between two or more persons that is legally enforceable provided certain conditions are observed.
- **Social contract Theorists:** the moral force of the contract is not derived from the consent of parties, productive organizations have to behave if they had struck a deal.